

NOVEMBER 2023

Religare's independent directors, in letters to Sebi, RBI, and Irdai, level allegations of fraud against the Burmans and say they are not 'fit and proper' for the transaction

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Burmans ask for improved governance at Religare related to limiting Saluja's compensation and level insider-trading allegations, saying she sold REL shares before the open offer



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Reports surface in the media on Mumbai police filing an FIR against Mohit Burman (*in picture*) and Gaurav Burman in connection with the Mahadev betting app scam; Burmans say no communication received; later say the FIR is a step provoked by vested interests to block the Religare buyout



MAY 2024

Burmans make fresh complaints of insider trading against Saluja; say she was in possession of price-sensitive information not disclosed to the exchanges

JUNE 2024

Sebi serves an interim order, directing Religare's management to apply to all regulators, including RBI, to make an open offer; stays Sebi action on show cause till August 29

SOURCE OFFICIAL STATEMENTS, MEDIA REPORTS

sively pursued such approvals, the board of REL, led by its Executive Chairperson, has deployed illegal means to block the open offer," a Burman family spokesperson says in a reply to BT.

In a conversation with BT before Sebi's interim order, Saluja had said that, until the open offer succeeds, the existing management and board will run Religare Enterprises. "I am executing my responsibility, and the regulators are doing their job. Why do you want to mix the two?" she said (*see full interview*).

The Burman-Religare battle has left minority shareholders in the lurch. Arush Khanna, Partner

at Numen Law Offices, points out that Sebi's interim order has made some damaging observations about how the Religare management's stand is not in the interest of its minority shareholders.

Specifically, on the role of Sebi, he says, "Being a creature of a special statute, Sebi cannot supplant RBI, Irdai, or any other regulator in the discharge of their respective functions. However, Sebi is vested with sufficient discretion and broad powers to protect the interest of all stakeholders in the securities market." Khanna refers to Section 11B of the Act read with Regulation 32 of SAST, which says Sebi is empowered to issue direc-

SEBI'S INTERIM ORDER

► The Burman family has complained to Sebi that Religare Enterprises Ltd (REL) has refused to apply for open offer approval from RBI

► The family is willing to discharge its obligation of acquiring shares through the open offer, but REL was frustrating their efforts, says Sebi's notice

► It says the rights of REL's shareholders are sacrosanct and cannot be interfered with or held hostage to the designs of REL's management

► REL has to constitute a committee of independent directors to place proposals on the open offer to its shareholders

► REL's assertion that Sebi has no jurisdiction to intervene in the matter is misplaced and reflects its contempt for regulatory bodies

